

Life application task

Key objective: Estimate your target portfolio allocation and then compare it against the historical performance of various allocation models.

1. Before taking a survey, think about the portfolio allocation that you think would make the most sense for you at this age and would allow you to sleep at night. Record your target allocation here:

40% Stocks (equity) 60% Bonds (fixed income)

2. Now take the following (free) risk preference survey at Vanguard. Then record *their* suggested portfolio allocation (top of the page in small print once you answer the survey questions):

<https://retirementplans.vanguard.com/VGApp/pe/PubQuizActivity?Step=start>

70% Stocks 30% Bonds

How does it compare to what you originally thought? Remember, it's your money! You get to invest it however you want. They just use an algorithm to help people discern their risk preferences.

The survey assessed my risk tolerance to be much higher than what I originally thought. I believe I would be more comfortable with the spread I laid out in the first question, but its interesting to see that their algorithm thinks I should have a large amount of money in Stocks. This is most likely because I was answering for longer term saving, and thus more risk is acceptable early on.

3. Go to the following website to view the historical performance of different portfolio allocations. Vanguard categorizes investors into three investment orientations: Income, Balanced, and Growth. Within each of these three orientations, you'll see three model portfolio allocations. Compare these orientations using the chart below. **Since each orientation has three model allocations, record the *range* of historical performance on the table on the next page. I've done the first portfolio orientation (Income Portfolios) for you as an example of what to look for and what to record**

<https://web.archive.org/web/20211211164640/https://investor.vanguard.com/investor-resources-education/education/model-portfolio-allocation>

Type of portfolio	Main goal and risk tolerance (in your own words)	Portfolio Allocation (Stocks/Bonds) (specify exact options provided)	Number of "Down" years (1926-2020) (specify exact numbers)	Worst Year (specify year and performance %)	Best Year (specify year and performance %)	Average annual return (specify exact %)
Income	Investors mainly want dividends and interest (coupon yielding bonds), as well as minimal risk. This is a good portfolio if you have a shorter amount of time before you need the money (shorter investment time horizon).	- 0% stocks, 100% bonds -30% stocks, 70% bonds	16-19 years out of 95 years	1969: - 8.1% to 1931: - 14.2%	1982: 38.3% to 45.5%	6.1% to 7.7
Balanced	Investors are comfortable tolerating short-term price fluctuations and can tolerate moderate growth. This is a good portfolio if you have mid- to long- term savings goals (longer investment time horizon).	40% stocks, 60% bonds; 50% stocks, 50% bonds; 60% stocks, 40% bonds;	19-22 years out of 95 years	1931: - 18.4% to 1931: - 26.6%	1982: 33.5% to 36.7%	8.2% to 9.1%
Growth	Investors have a high risk tolerance and long term investment horizon. This portfolio consists of mostly stocks expected to grow, and is not concerned with generating immediate income. This takes into account long-term potential weighing it against short-term price fluctuations.	70% stocks, 30% bonds; 80% stocks, 20% bonds; 100% stocks, 0% bonds;	23-25 years out of 95 years	1931: - 30.7% to 1931: - 43.1%	1982: 41.1% to 54.2%	9.4% to 10.3%

4. What is the main lesson(s) you learned from analyzing the historical performance of these various portfolios?

Taking on a growth portfolio is great for long term saving, as you get a higher average return rate, even though you're taking on more risk. This has shown me that investment goals and portfolios are entirely contextual and there is no real right or wrong way to invest (strategies, not what you're investing in). Taking on less risk can be good for short term goals, but you would want something with more risk and thus more return for longer term investing.

5. Given your target portfolio allocation, what average yearly return can you expect IF the past is indicative of future performance? 9.4% to 10.3% In line with the Growth portfolio

6. Did viewing the performance change your mind about your target allocation?

Yes, I now see myself taking on more risk than I usually thought. This is because my investment goals are largely long term now, and thus I will start to adopt some traits of the Growth portfolio so that I can meet those goals slightly easier. I realize that my original allocation was so low in stocks because I am fearful for the short term, but once I have a more steady flow of income I can comfortably take on more risk without thinking so emotionally.